

ORIGINAL

(S E R V E D)
(December 14, 2000)
(FEDERAL MARITIME COMMISSION)

FEDERAL MARITIME COMMISSION

WASHINGTON, D. C.

December 14, 2000

DOCKET NO. 00-04

AL KOGAN d/b/a GALAWAY INTERNATIONAL

v.

**WORLD EXPRESS SHIPPING, TRANSPORTATION AND
FORWARDING SERVICES, INC. d/b/a W.E.S.T.
FORWARDING SERVICES (FMC LIC. #3118-R)**

**SETTLEMENT APPROVED;
COMPLAINT DISMISSED WITH PREJUDICE**

A well-known lawyer, who practiced in the State of Illinois where both complainant and respondent are doing business, once commented on the desirability of settling cases. This lawyer, whose name was Abraham Lincoln, stated in this regard.

Discourage litigation. Persuade your neighbors to compromise whenever you can. Point out to them how the nominal winner is often a real loser-in fees, expenses and waste of time As a peacemaker, the lawyer has a superior opportunity of being a good man.'

The American humorist Ambrose Bierce once defined litigation as "a machine you go into as a pig and come out of as a sausage."²

The parties in the instant case, after litigating since March 1 of this year, have apparently decided to follow Lincoln's advice and also to avoid being ground up into sausages Accordingly, after several conferences, responses to interrogatories, taking of six depositions of knowledgeable witnesses in Chicago, the recommendations of the presiding judge, and finally, the assistance of the Commission's Deputy Director, Bureau of Consumer Complaints and Licensing, Mr Ronald D Murphy, who is a professional mediator, the parties have entered into a settlement agreement and ask me to approve their agreement and to dismiss the complaint with prejudice As explained below, I am happy to do so and commend them for a most prudent decision.

History of the Proceeding

The proceeding began with the service of a complaint in which complainant, Mr Al Kogan d/b/a Galaway International, in the business of selling goods to Russians, alleged that respondent

¹See *Clarion Corp v American Home Products Corp*, 494 F.2d 860,863 (7th Cir 1974), for the source of this quotation.

²See Ambrose Bierce, *The Devil's Dictionary*

World Express Shipping Transportation and Forwarding Services, Inc d/b/a W.E S T Forwarding Services (WEST), an ocean freight forwarder licensed by the Commission, was responsible for the misrouting and delay in delivery of a shipment of automobile care products, which shipment was mistakenly sent first to Israel and, after some difficulty and delay, was ultimately rerouted to Russia via Kotka, Finland, the routing originally intended by complainant. Complainant alleged that WEST had booked the shipment with an NVOCC (non-vessel operating common carrier) known as Atlantic Ocean Lines (A.O L), which booked the shipment on a vessel not sailing to Northern Europe and that after the shipment had arrived in Israel, WEST again handled the shipment unreasonably, demanding payment of additional money to release the shipment from Israel and ultimately to deliver it to a new customer in Russia. Complainant alleged that WEST had violated some five different sections of the Shipping Act of 1984, as they existed prior to May 1, 1999, when that Act was amended by the Ocean Shipping Reform Act (OSRA), P L 105-258, 112 Stat. 1902.³ Furthermore, complainant alleged that WEST had violated some nine different Commission regulations dealing with the duties of licensed freight forwarders ⁴ Alleging that he lost the original sale on the shipment and lost future profits as a result of the aforementioned conduct of WEST, complainant asked for an award of reparations amounting to some \$250,000, exclusive of attorney's fees

³The shipment involved in the instant dispute occurred in 1998, prior to the effective date of OSRA. The sections of the 1984 Act that complainant alleged to have been violated were sections 10(b)(1), 10(b)(5), 10(b)(6)(E), 10(b)(12) and 10(d)(1). Some of these laws dealt with duties of ocean carriers as well as freight forwarders. However, respondent WEST may have operated only as a freight forwarder in connection with the subject shipment.

⁴The Commission regulations invoked by complainant were found in 46 C.F.R. 510.21, 510.22, and 510.23. After OSRA, they were moved to various subsections of 46 C.F.R. 515

In its answer to the complaint, WEST denied any wrongdoing and asserted that two other parties were involved in the delayed shipment, namely, A.O.L. and a vessel-operating carrier, namely, Zim Israel Navigation Ltd., and that it had tried to help Mr. Kogan. Moreover, WEST filed its own counter-complaint against Mr. Kogan, alleging that Mr. Kogan and not WEST had selected A.O.L. and that Mr. Kogan still owed WEST some \$13,611.50, for money expended by West on Mr. Kogan's behalf. West alleged that Mr. Kogan had violated section 1 O(a)(1) of the 1984 Act by attempting to obtain ocean transportation without paying the lawful freight by an unjust or unfair device or means. Mr. Kogan denied the allegations in WEST's counter-complaint. To complete the picture regarding litigation between Mr. Kogan and WEST, the reader should note that WEST had also filed a common-law collection suit against Mr. Kogan in state court in Cook County, Illinois to recover the approximately \$13,000 plus interest and that Mr. Kogan has counter-claimed for \$250,000 in that court suit.⁵ However, the settlement agreement would settle the state court case as well as the Commission proceeding.

Early in the proceeding, the undersigned encouraged the parties to consider following alternative dispute resolution (ADR) procedures and, specifically, to seek the services of a trained Commission mediator who is with the Commission's Bureau of Consumer Complaints and Licensing. (See Motion for Extension of Time to File Answer to Complaint Granted, March 20, 2000.) In addition, as is customary in Commission proceedings, the parties engaged in prehearing inspection and discovery and depositions of six witnesses were taken in Chicago, Illinois during the period July 24-27, 2000.

⁵The case is styled *WEST Forwarding v. Al Kogan*, 99 MI 116394 (Circuit Court of Cook County, Illinois).

After completion of the depositions, I summoned the parties to a special conference to evaluate the parties' claims and defenses and to discuss possible settlement. Prior to the Conference, which was held on November 2, 2000, in Washington, D C , I furnished counsel with case citations dealing with freight-forwarder liability and the effect of intervening causes on such liability (See my letter to counsel, dated October 30, 2000) At the conference itself counsel discussed various items of money damages claimed by Mr Kogan and I pointed out the risks of litigation under various theories of law, citing more cases (See Notice of Preliminary Evaluations Made at Special Conference, November 6, 2000.) At the conclusion of the conference, counsel for the parties were introduced to the Commission's mediator, Mr Ronald D Murphy, Deputy Director, Bureau of Consumer Complaints and Licensing. Mr Murphy flew to Chicago and on Thursday, November 16, 2000, mediated the dispute using skills of professional mediators not available to trial judges The result of Mr Murphy's efforts was that the parties entered into the settlement agreement which I am now approving.

The Settlement Agreement

The terms of the settlement agreement are briefly discussed here The complete text, which the parties have requested to be kept confidential, is being kept in the confidential files maintained by the Commission's Secretary

As is customary in settlement agreements, neither party admits to liability However, they agree to execute mutual releases and WEST agrees to transmit a certain sum to a special trust account maintained by complainant's counsel within five days after Commission approval of the

agreement, each party to bear his own costs and attorney's fees. Moreover, the parties agree to file a stipulation of dismissal in the state court case as well as in the instant proceeding and agree to hold the terms of their agreement confidential.

Approvability of the Settlement Agreement
Under Applicable Principles of Law

There have now been countless cases before the Commission showing that the Commission, like the courts, strongly encourages settlements and, absent any showing that they contravene any law or public policy, presumes that they are just and reasonable, although not acting as a mere rubber stamp. For an explanation of these basic principles, see, e.g., *Old Ben Coal Co. v. Sea-Land Service, Inc.*, 21 F.M.C. 505, 512-515 (1978) (18 S.R.R. 1085, 1091-1095), *Great White Fleet v. Southeastern Paper Products, Inc.*, 26 S.R.R. 1487, 1488-1490 (1994), *Jorge Villena, et al.*, 24 S.R.R. 1098, 1101-1102 (1988).

The Commission's rules of procedure have long provided for settlements in keeping with the encouragement of the Administrative Procedure Act (APA) to facilitate settlements. See, e.g., 46 C.F.R. 502.91(a)(b); 502.94(a)(1), 5 U.S.C. sec. 544(c)(1). Moreover, after the enactment of the Administrative Dispute Resolution Act of 1990, P.L. 101-552, 104 Stat. 2736, 5 U.S.C. sec. 571 et seq., the Commission amended various of its rules of procedure to incorporate the use of various ADR techniques. See *Alternative Dispute Resolution*, 26 S.R.R. 1032 (1993), Docket No. 93-07 - *Alternative Dispute Resolution*, Policy Statement, 58 Fed. Reg. 38651 (July 19, 1993). More recently, the Commission has established a Bureau of Consumer Complaints and Licensing whose

Deputy Director, Mr Ronald D Murphy, is a trained mediator, and, as mentioned above, whose services were instrumental in bringing about a settlement in the instant case

I find nothing objectionable in the settlement agreement, i.e , nothing that would contravene any law or public policy The agreement appears to be carefully crafted even to the **extent** of implicitly recognizing and dealing with the possibility of a party's breaching the agreement.' The fact that the parties have requested that the terms of their agreement be kept confidential is not unprecedented and such request has not prevented approval of such agreements in past cases.⁷ Finally, the settlement agreement has the added benefit of terminating the state court case, another point in its favor, and, as is obvious from my discussion, fully comports with the strong policy in the law favoring settlements

For the reasons given above, the complaint is dismissed with prejudice and the settlement agreement is approved subject to the Commission's review of this ruling pursuant to 46 C.F.R. 502.227(c)


Norman D Kline
Administrative Law Judge

⁶Unfortunately, in three previous cases before the Commission, after settlement agreements had been approved and the complaints were dismissed, respondents breached the settlement agreements, requiring the complaints to be reactivated. See Docket No 00-08 - *Safmarine Container Lines N. V., etc v Garden State Spices, Inc* , Settlement Approved, Complaint Dismissed Without Prejudice, 28 S.R.R. 1498 (2000), same docket, Initial Decision, September 29, 2000, F.M.D notice of finality, November 7, 2000 ____S.R.R.____. It is therefore necessary and prudent to ensure that the Commission may retain jurisdiction over a dismissed complaint in the event that a party defaults on the agreement. The parties have agreed that the Commission may retain jurisdiction, which the Commission interprets to mean reactivation of the original complaint in case a party breaches the settlement agreement. *Safmarine Container Lines*, Initial Decision, cited above

⁷If parties wish to keep the terms of their settlement agreements confidential, the Commission, as well as the courts, have honored such requests. See *Amsov v Dan-Transport*, 27 S.R.R. 496,498 (1995), *International Association of NVOCCs v ACL, et al*, 25 S.R.R. 1607, 1609 (1991).